Question #1 of 33

Question ID: 1675757

In the preparation of a research report, a CFA Institute member may emphasize certain matters, touch briefly on others, and omit some altogether:

A) provided that the analyst has a reasonable basis for his or her actions.

B) under no circumstances.

C) provided that the analyst both has a reasonable basis and is unconstrained by the mosaic theory.

Question #2 of 33

Question ID: 1675754

Janet Coleman, CFA, is preparing a research report on Union Power and Light (Union). Due to deregulation, utility companies face increased competition. During the past year, three of the five utility companies in her region have cut their dividends by 50%, on average, to provide more internal funds for investment purposes. In a discussion with Union's chief executive officer, Coleman learned that Union expects to have a record amount of capital expenditures during the next year. Although Union subsequently issued a press release about its capital expenditure plans, it did not make any public statements about a change in dividend policy. Coleman reasons that the management of Union will be under pressure to cut its dividends within the next year to remain competitive. Coleman issues a research report in which she states the following:

"Union Power and Light will decrease its dividend from $2 to $1 a share by the second quarter. We expect that Union will strengthen its competitive position by using more internally generated funds to finance its investment opportunities. If investors buy the stock now at around $50 a share, their total return could exceed 20% on the stock."

Based on CFA Institute Standards of Professional Conduct, which of the following statements about Coleman's actions is *most accurate*?

A) Coleman violated the Standards because she used material inside information.

B) Coleman violated the Standards because she failed to separate opinion from fact in her research report.

C) Coleman did not violate the Standards.

Question #3 of 33

Question ID: 1675750

Wes Smith, CFA, works for Advisors, Inc. To remain in compliance with Standard V(A): Diligence and Reasonable Basis, Smith may recommend a security in which of the following situations?

A) The research department at Advisors, Inc., recommends a stock.

B) Smith reads a favorable review of the security in a widely read periodical.

C) Either the research department at Advisors, Inc., recommends a stock or Smith reads a favorable review of the security in a widely read periodical.

Question #4 of 33

Question ID: 1675753

Robert Hamilton, a CFA candidate, is preparing a research report on Pets-R-Us for public distribution. Hamilton's preliminary report contains unfavorable earnings forecasts for the next four quarters. As part of his analysis, Hamilton met with Linda Brisson, president of Pets-R-Us, and asked her to review the preliminary report for factual inaccuracies. Brisson revised Hamilton's earnings forecasts so that the quarterly earnings showed an upward trend and resulted in positive earnings by the fourth quarter. Hamilton included the revised earnings figures in his report without further review. Although the final report included the basic characteristics of Pets-R-Us, it emphasized certain areas like projected quarterly earnings, but only briefly touched on others. According to CFA Institute Standards of Professional Conduct on research reports, Hamilton:

A) did not violate the Standard.

B) violated the Standard because he did not thoroughly review and analyze any information provided by Brisson.

C) violated the Standard because the report did not give similar attention to all areas; instead, it emphasized quarterly earnings at the expense of other areas.

Question #5 of 33

Question ID: 1675742

An analyst receives a report from his research department that summarizes and interprets a recent speech from the chairman of the U.S. Federal Reserve. The summary says that the chairman thinks inflation is under control. Based upon this summary, the analyst says in his next newsletter that inflation is under control. This is a violation of:

A) Standard V(A): Diligence and Reasonable Basis only.

B) none of the Standards listed here.

C) Standard V(A): Diligence and Reasonable Basis, and Standard V(B): Communication with Clients and Prospective Clients.

Question #6 of 33

Question ID: 1675741

An investment analyst and an investment manager work together in the same office. The investment analyst has found an investment with what appears to be a great return-to-risk ratio. The analyst double checks the data for accuracy, keeps careful records, and is careful to not make any misrepresentations as he simultaneously sends an email to all of his clients with a buy recommendation, given the qualities of the investment. According to Standard V(A): Diligence and Reasonable Basis, the analyst has:

A) fulfilled all obligations.

B) violated the Standard if he does not verify whether the investment is appropriate for all the clients.

C) violated the Standard by communicating the recommendation via email.

Question #7 of 33

Question ID: 1675762

Nicole Wise, CFA, is an analyst at Chicago Securities. She attends a meeting with management of one of the companies that she covers. During the meeting, management expresses great optimism about the company's recent acquisition of a new business. Wise is excited about these prospects and issues a research report that states that the company is about to achieve significant success with the new acquisition. Wise has:

A) violated CFA Institute Standards of Professional Conduct because she did not check the accuracy of the statements that management made.

B) not violated CFA Institute Standards of Professional Conduct because she had reasonable reason to believe that the statements in her report were true.

C) violated CFA Institute Standards of Professional Conduct because she misrepresented the optimism by turning it to certainty.

Question #8 of 33

Question ID: 1675755

An analyst who routinely purges the files that support his research and recommendations:

A) may be violating Standard V(C): Record Retention.

B) is acting in accordance to Standard IV(A): Loyalty to Employer.

C) is acting in accordance to Standard III(E): Preservation of Confidentiality.

Question #9 of 33

Question ID: 1675744

In the process of recommending an investment, to comply with Standard V(A): Diligence and Reasonable Basis, a CFA Institute member must:

A) do both of these.

B) have a reasonable and adequate basis for the recommendation.

C) support a recommendation with appropriate research and investigation.

Question #10 of 33

Question ID: 1675747

An analyst writes a report and includes the forecasts of an econometric model developed by the firm's research department. The analyst identifies the source of the forecast and includes all the relevant statistics concerning the model and his opinion of the model's accuracy. With respect to Standard V(A): Diligence and Reasonable Basis, the analyst has:

A) violated the Standard by not testing the model himself.

B) violated the Standard by including quantitative details in a report.

C) complied with the Standard.

Question #11 of 33

Question ID: 1675745

Susan Plumb is the supervisor of her firm's research department. Her firm has been seeking the mandate to underwrite the proposed secondary stock offering of Wings Industries (Wings). Without mentioning that the firm is seeking the mandate, she asks Jack Dawson to analyze Wings' common stock and prepare a research report. After reasonable effort, Dawson produces a favorable report on Wings stock. After reviewing the report, Plumb then adds a footnote describing the underwriting relationship with Wings and disseminates the report to the firm's clients. According to CFA Institute Standards of Professional Conduct, these actions are:

A) not a violation of any Standard.

B) a violation of Standard VI(A): Disclosure of Conflicts.

C) a violation of Standard V(A): Diligence and Reasonable Basis.

Question #12 of 33

Question ID: 1675764

Lee Hurst, CFA, is an equity research analyst who has recently left a large firm to start an independent practice. He is able to re-create several of his previous recommendation reports, based on his clear recollection of supporting documentation he compiled at his previous employer. He publishes the reports and obtains several new clients. Hurst is *most likely*:

A) not in violation of any Standard.

B) in violation of Standard V(A): Diligent and Reasonable Basis.

C) in violation of Standard V(C): Record Retention.

Fred Stroh is an international equity analyst for EmerWorld Capital Management (ECM). Stroh has been studying the opportunities associated with the rumors of proposed joint ventures involving U.S. firms and firms partially owned by the government in a recently democratized country. Clients of Stroh have called him to ask about the investment possibilities. This concerns Stroh somewhat, as he has had great difficulty in finding and acquiring reliable information about the quality and accessibility of the inputs and labor in local markets. Furthermore, there is still considerable uncertainty about which U.S. firms will

be offered partnerships, what the conditions of those partnerships will entail, and the accounting rules that will govern the new ventures. However, Stroh is confident that there will be demand for the output in local and international markets.

Stroh begins his investigation and emails an old friend who was an entrepreneur in the U.S. and moved to the recently democratized country when he went into partial retirement. Although Stroh had not been in contact with the friend for several years, the friend writes back and says that this is a great time to invest in the country. He says that there will be national elections soon, and it seems that a pro-business chief executive for the country will be elected. The friend includes website URL addresses that link to reports from reputable news sources concerning the election. Stroh goes to those sites and sees that recent opinion polls in the country show that the pro-business candidate has a majority in the polls taken and is believed to be able to easily win the election.

Stroh calls his friend and asks if the labor costs and input availability in the country gave the country a comparative advantage in some areas. The friend says yes, and that APX Corp. (APX) is planning to partner with the country's government to expand a plant for making car parts. APX is also in talks to make a tender offer for a French glass manufacturing firm, which was one of the few nonnationalized and foreign-owned firms in the country. None of APX's intentions were known to outsiders of the firm. Stroh asks his friend how sure he is of the information, and the friend says that he has been hired as a consultant for APX and has been a negotiator in the tender offer dealings, which are going well. Stroh warns his friend that he may be saying too much, and his friend says that there are no rules in the country associated with trading on this type of information. The friend says he has some other useful information, but first asks if Stroh thought that investing in APX was a good idea. Stroh responds by saying that based on the information just provided, and his training as an analyst and a CFA charterholder, the analysis would indicate that his friend should buy APX. The friend then says that IMI Corp. (IMI) has decided not to enter into any partnerships in the country. Stroh then asks about how sure his friend was of IMI withdrawing from partnering in the country, and the friend says that although he has no contacts in IMI, it was his own research that led to that conclusion. Stroh corroborated his friend's research findings.

Stroh continues his investigation. In his research, he finds through public documents that APX has purchased the land next to the car parts plant. Some of APX's managers are already working in the parts plant itself. He also finds that APX representatives have been visiting the headquarters of the French glass manufacturer. In public documents, APX is projecting a big increase in its production of engine parts and windshields.

Stroh calls the CFO of IMI, and during the conversation, he learns that IMI has decided to withdraw its bid to be a joint venture partner, but that the formal announcement of the withdrawal will not occur for another week. The CFO declines to give a reason. Stroh also

finds that official statistics verify the friend's assertion that the country's labor and raw material supplies do give it a comparative advantage in the types of activities that APX is seeking to engage in.

Not wanting to miss an opportunity, Stroh completes his industry analysis and concludes that ECM will issue a buy recommendation on APX. In the recommendation, he says that APX is planning on expanding its production of car parts and windshields by acquiring new manufacturing plants in a country that offers great cost advantages, but does not mention his gathering the information concerning the land acquisition and the APX managers working in the existing plant because he wants to conceal his research methods. Stroh also says the advantages to APX are exceptionally good because a new pro-business chief executive will soon be elected. Upon the announcement of IMI to not partner in the country, Stroh issues a sell recommendation on IMI. Stroh says in the sell recommendation that IMI's management does not seem competent because it will not be capitalizing on the opportunities in the country and apparently cannot recognize a good opportunity when it sees one.

Question #13 - 18 of 33

Question ID: 1675732

Which of the following pieces of information would Stroh have been able to use to trade upon?

A) IMI withdrawing from partnering in the country.

B) The labor and materials comparative advantage of the country.

C) The plan by APX to partner in the car parts production in the country.

Question #14 - 18 of 33

Question ID: 1675733

The statement Stroh made in his recommendation of APX concerning the election of a pro-business chief executive was:

A) appropriate because it was based on information from the public websites of reliable news agencies.

B) not appropriate because of the way it was mentioned in the recommendation.

C) appropriate because it did not relate directly to the firms themselves.

Question #15 - 18 of 33

Question ID: 1675734

With respect to the given information and the sell recommendation of IMI, which of the following statements would not be allowable in the sell recommendation under the Standards?

A) Research indicated IMI was likely to withdraw from any partnership agreements within the country.

B) IMI's executives cannot recognize a good opportunity when they see it.

C) IMI is now abandoning its plan to partner in the country.

Question #16 - 18 of 33

Question ID: 1675735

When Stroh answered his friend's question concerning whether the friend should invest in APX, Stroh was in violation of all of the following Standards except:

A) Standard III(B): Fair Dealing.

B) Standard VII(B): Reference to CFA Institute, the CFA Designation, and the CFA Program.

C) Standard III(C): Suitability.

Question #17 - 18 of 33

Question ID: 1675736

Stroh attempted to maintain the confidence of his research methods by not revealing them in his report. By doing so, Stroh:

A) may have violated the Standards related to known limitations of his analysis and material misrepresentation by omitting the source of his information and other facts that led to his conclusions.

B) is neither helping nor harming the consumers of his report, as long as he reaches logical conclusions from the information the sources provide.

C) is exercising discretion to maintain a competitive edge.

Question #18 - 18 of 33

Question ID: 1675737

With respect to Stroh's recommendations, the mosaic principle could play a role with respect to the use of which piece of information?

A) The partnering of APX with the government's car parts operations.

B) The purchase of the glass manufacturing company in the country.

C) The comparative advantage of the country in manufacturing.

Question #19 of 33

Question ID: 1675761

Roger Halpert, CFA, prepares a company research report in which he recommends a strong buy. He has been careful to ensure that his report complies with the CFA Institute Standard on research reports. According to CFA Institute Standards of Professional Conduct, which of the following statements about how Halpert can communicate the report is *most correct*?

A) Halpert can transmit his report by computer on the internet.

B) Halpert can make his report in person.

C) Halpert can make his report in person, by telephone, or by computer on the internet.

Question #20 of 33

Question ID: 1675739

The following scenarios refer to recommendations made by two analysts:

- Jean King, CFA, is a quantitative analyst at Quantlogic, Inc. King uses computer-generated screens to differentiate value and growth stocks based on accounting numbers such as sales, cash flow, earnings, and book value. Based on her analysis of all domestically traded stocks in the United States over the past year, King concludes that value stocks as a class have underperformed growth stocks over that period. Using only this analysis, she recommends that account executives at Quantlogic sell all value stocks from the portfolios for which they have discretionary authority to trade and replace these stocks with growth stocks.
- James Capelli, CFA, is a fundamental analyst at Wheaton Capital Management, which focuses on regional stocks. His analysis of Branson Wireless includes the investment's basic characteristics, such as information about historical earnings, ownership of assets, outstanding contracts, and other business factors. In addition to conducting both a general industry analysis and a company financial analysis, Capelli interviews key executives at Branson. Based on his analysis, he concludes that the company's future prospects are strong and issues a buy recommendation.

According to CFA Institute Standards of Professional Conduct, did King and Capelli have a reasonable and adequate basis for making their recommendations?

A) King has a reasonable basis for her recommendation, but Capelli does not.

B) Both King and Capelli have a reasonable basis for their recommendations.

C) Capelli has a reasonable basis for his recommendation, but King does not.

Question #21 of 33

Question ID: 1675749

Several years ago, Hilton and Ross, a full-service investment firm, managed the initial public offering of eCom, Inc. Now, eCom wants Hilton and Ross to underwrite its secondary public offering. A senior manager at Hilton and Ross asks Brent Whitman, CFA, one of its equity analysts, to write a favorable research report on eCom to help make the underwriting a success. Whitman conducts a thorough analysis of eCom and concludes that the company has serious problems that do not suggest a favorable financial outlook. Nevertheless, Whitman writes a favorable report because he is fearful of losing his job. Hilton and Ross publicly distribute a report that only contains a buy recommendation and a brief description of the basic characteristics of eCom. Whitman has violated:

A) Standard I(B): Independence and Objectivity only.

B) Standard V(A): Diligence and Reasonable Basis only.

C) both Standard I(B): Independence and Objectivity and Standard V(A): Diligence and Reasonable Basis.

Question #22 of 33

Question ID: 1675759

Bob Hatfield, CFA, has his own money management firm with two clients. The accounts of the two clients are equal in value. It is Hatfield's opinion that interest rates will fall in the near future. Based upon this, Hatfield begins increasing the bond allocation of each portfolio. To comply with Standard V(B): Communication with Clients and Prospective Clients, the analyst needs to:

A) inform the clients of the change and tell them it is based upon an opinion and not a fact.

B) perform both of these functions.

C) make sure that the change is identical for both clients.

Question #23 of 33

Question ID: 1675756

Joni Black, CFA, works for a portfolio management firm. Black is a partner of the firm and is primarily responsible for managing several large pension plans. Black has just finished a research report in which she recommends Zeta Corporation as a "strong buy." Her rating is based on solid management in a growing and expanding industry. She just handed the report to the marketing department of the firm for immediate dissemination. Upon returning to her desk, she notices a news flash by CNN reporting that management for Zeta Corporation is retiring. Black wishes she did not recommend Zeta Corporation as a strong buy, but she believes the corporation is still a good investment, regardless of the management. What course of action for Black is *best*? Black:

A) should revise the recommendation based on this new information.

B) may send out the report as written as long as a follow-up is disseminated within a reasonable amount of time reflecting the changes in management.

C) should report the new information to her immediate supervisor so that they can determine whether or not the marketing department should send out the report as written.

Question #24 of 33

Question ID: 1675760

An analyst finds a stock that has had a low beta given its historical return, but its total risk has been commensurate with its return. When writing a research report about the stock for clients with well-diversified portfolios, according to Standard V(B): Communication with Clients and Prospective Clients, the analyst needs to mention:

A) both the historical beta and total risk and return.

B) the relationship of the historical total risk to return only.

C) the relationship of the historical beta and return only.

Question #25 of 33

Question ID: 1675738

A financial analyst and CFA Institute member sends a preliminary research report on a company to his supervisor. The supervisor approves the report, but then the analyst receives news that causes him to revise downward the earnings estimate of the company. The analyst resubmits the report to the supervisor with the new earnings estimate. The analyst soon finds out that the supervisor plans to release the first version of the report with the first earnings estimate without a reasonable and adequate basis. In response to this, the analyst must:

A) both insist that a follow-up report be issued and take up the issue with regulatory authorities.

B) insist that the supervisor change the earnings forecast or remove his (the analyst's) name from the report.

C) only insist that the first report be followed up by a revision.

Question #26 of 33

Question ID: 1675763

According to CFA Institute Standards of Professional Conduct, members are *least likely* required to:

A) distribute a detailed research report to clients with any recommendation.

B) analyze the investment's basic characteristics before recommending a specific investment to a broad client group.

C) make diligent efforts to determine whether third-party research relied on is sound.

Question #27 of 33

Question ID: 1675740

A client calls his money manager and asks the manager to liquidate a large portion of his assets under management for an emergency. The manager warns the client of the risk of selling many assets quickly but says that he will try to get the client the best possible price. This is a violation of:

A) none of the Standards listed here.

B) Standard V(A): Diligence and Reasonable Basis.

C) Standard III(C): Suitability.

Question #28 of 33

Question ID: 1675751

Susan Tigra, CFA, is a portfolio co-manager for the Sandia Energy pension fund. Sandra Bulow, a research analyst under Tigra's supervision, creates a new trading model and immediately begins to trade. Tigra stops Bulow from trading, but notes that the firm has no guidelines for testing new models. Tigra should *most likely*:

A) report Bulow to the firm's compliance department for violation of Standard V(A): Diligence and Reasonable Basis.

B) encourage her firm to develop detailed, written guidance that establishes minimum levels of testing for all computer-based models as required by Standard III(C): Suitability.

C) encourage her firm to develop detailed, written guidance that establishes minimum levels of testing for all computer-based models as recommended by Standard V(A): Diligence and Reasonable Basis.

Question #29 of 33

Question ID: 1675743

Peggy Green, CFA, is a research analyst following Brown Co. All the information she has gathered suggests the stock should be rated a weak "hold." During a recent lunch, Green overheard another analyst say that the stock should be rated a "buy." Green returns to her office and issues a buy recommendation. Green violated CFA Institute Standards of Professional Conduct because she:

A) did not have a reasonable and adequate basis for making this recommendation.

B) did not seek approval of the change from her firm's compliance director.

C) failed to distinguish between fact and opinion.

Question #30 of 33

Question ID: 1675746

An analyst receives a research report from a colleague. The colleague's report has an elaborate table with performance data on publicly traded stocks. The colleague says the data in the table consists of measures provided by Standard & Poor's. The analyst finds the table a useful reference for a report she is writing. She uses several pieces of data from the table. The analyst is potentially in violation of:

A) Standard I(C): Misrepresentation, concerning the use of the work of others.

B) Standard V(A): Diligence and Reasonable Basis, if she does not first verify the data in the table is accurate.

C) no particular Standard because this is appropriate activity.

Question #31 of 33

Question ID: 1675752

An analyst finds a stock with historical returns that are not correlated with interest rate changes. The analyst writes a report for his clients that have large allocations in fixed-income instruments and emphasizes the observed lack of correlation. He feels the stock would be of little value to investors whose portfolios are composed primarily of equities. The clients with allocations of fixed-income instruments are the only clients to see the report. According to Standard V(B): Communication with Clients and Prospective Clients, the analyst has:

A) violated the Standard concerning fair dealings with all clients.

B) not violated the Standard.

C) violated the article in the Standard concerning facts and opinions.

Question #32 of 33

Question ID: 1675748

An analyst notices that for most years where a given class of assets has an abnormally high rate of return, the asset class often has an abnormally low rate of return the next year. Based upon this information, according to Standard V(A): Diligence and Reasonable Basis, the analyst can recommend:

A) an increased allocation of Treasury bills (T-bills) for all portfolios of assets that have increased dramatically in the previous year.

B) short selling assets that have had a good previous year to all clients.

C) neither of these choices.

Question #33 of 33

Question ID: 1675758

An analyst has several groups of clients who are categorized according to their specific needs. Compared to research reports distributed to all of the clients, reports for a specific group:

A) will not be allowed because it violates Standard III(B): Fair Dealing.

B) may generally exclude more basic facts.

C) will definitely include more basic facts.